



INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2016

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List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'15	2015
'16	2016
H1	Half year
Var	Variance
F. Funeral	First Funeral

This report is based on direct funeral insurers only and does not include funeral business underwritten by life companies.

3.0 INTRODUCTION

Acknowledgement

The insurance information contained in this report has been extracted from the quarterly unaudited returns submitted to the Commission in line with Section 30 of the Insurance Act (Chapter 24:7). No adjustments have been made to the returns' data except where necessary in consultation with the insurer(s) or reinsurer(s).

All the amounts are given in thousands of United States dollars (US\$'000') except where otherwise stated.

This report is based on the operational statistics of 9 funeral assurance companies

4.0 Economic overview for 2016 and outlook for 2017

Economic growth remained subdued. This is mainly due to persistent droughts, weak commodity prices on international markets and constrained competitiveness due to the strong United States Dollar against neighboring currencies. Disposable income for the general populace remained depressed with the active sectors hamstrung by liquidity challenges which inhibit key operations and procurement activities. This resulted in a constrained gross premium income growth in the funeral assurance industry for the period under review.

The outlook for 2017 is however more promising, with the International Monetary Fund recently estimating economic growth for Zimbabwe to be 1.7 percent. Growth in Zimbabwe is going to be underpinned by an expected good agricultural harvest, improvement in key mineral prices in international markets. The positive outlook in economic growth will likely improve the positive growth trajectory of the insurance industry into the future.

5.0 Industry Overview

During the year 2016, there were no registrations of new players or deregistrations and cancellations of licences in the funeral assurance industry. Gross premium income grew by 6 percent from 2015 to 2016 as compared to a growth rate of 2 percent from 2014 to 2015. This growth rate which outpaces the growth rate of the economy (at 1.5 percent) shows the resilience of the industry. Corporate lines generated 40 percent of gross premium income while personal lines generated 60 percent, showing an increase in demand of funeral cover in individual clients.

Claims paid increased by 26 percent from 2015 to 2016 as compared to a decrease by 14 percent from 2014 to 2015. Industry players should settle claims immediately or within reasonable timeframes as this is at the core of funeral assurance business. They should therefore strive to



clear their outstanding claims and maintain a claims age of at most 30 days. Bottom line earnings for the reporting year which ended 31 December 2016 increased by 1 percent

The assets of the Funeral assurance industry increased by 20 percent from 2015 to 2016 as compared to an increase of 9 percent from 2014 to 2015. Despite this increase in assets, the prescribed asset ratio remained below the minimum threshold of 7.5 percent. The Commission expects the industry to follow the investment guidelines issued by the Commission which are in Circular 1 of 2016 and Circular 1 of 2013. The guidelines stipulate limits on the portion of assets that can be invested in various asset classes. In line with the investment guidelines the Commission requires the industry to improve the liquidity structure of their assets so as to improve their assets quality.

The total capitalization for the funeral assurance industry increased by 26 percent (from US\$30,378 million in December 2015 to US\$38.316 million in December 2016) for the period under review as compared to 2 percent growth at the end of 2015 (from US\$29.086 million in December 2014 to US\$30.378 in 2015). This shows a significant growth in assets of the industry which fares well for the security of policy holders.

Industry players are required to be in full compliance with all the regulations governing their business conduct and should also strive to adhere to the industry code of conduct and avoid unethical practices such as rebating and switching. The Commission continues to encourage a mutually beneficial relationship between industry players and the Funeral Services Association (FUSA) as this will ensure value for money for policy holders. Players are also encouraged to adopt the guidelines in Treating Customers Fairly and corporate governance issued by the Commission.

The table below shows a summary of key performance indicators for the funeral assurance industry for the year ended 31 December 2016

Table 1: Summary of Business performance by the Funeral Assurance Industry for the reporting year ended 31 December 2016

Financial Aspect	Funeral Assurers		
	Dec-15	Dec-16	Growth
Net Premiums Income (\$000)	36,500	38,618	6%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	9,476	11,912	26%
Management Expenses (\$000)	16,930	15,952	-6%
Commissions (\$000)	3,139	3,123	-1%
Total Costs (\$000)	29,529	30,987	5%
Technical Profit (\$000)	6,971	10,715	54%
Expense Ratio	55%	49%	-6%
Claims Ratio	26%	31%	5%
Combined Ratio	81%	80%	-1%
Total Assets (\$000)	51,440	61,799	20%
Total Liabilities (\$000)	21,062	23,483	11%
Current Assets	17,211	24,258	41%
Current Liabilities	12,672	4,137	-67%
Capital (\$000)	30,378	38,316	26%
Capital to liability Ratio	144%	163%	19%
Prescribed Assets (\$000)	83	326	293%
Prescribed Asset Ratio (%)	0%	0.50%	100%

Retention

The industry is urged to consider protecting themselves against catastrophic events. This can be done by arranging excess of loss cover for catastrophic occurrences to ensure protection against such events. The present 100 percent retention does not augur well with risk management practices in the insurance industry.

6.0 Update on operations

All agents should be registered with the commission and any player that uses unregistered agents will be penalized in line with regulations. Players should encourage their agents on temporary licences to write the certificate of proficiency before their licences expire for them to get a full licence and avoid inconveniences.

Table 2: Registered Agents and operational staff

Name of Company	Corporate Agents	Sole Agents	Staff	Branches
Cell	0	0	13	2
Doves	0	90	60	24
First Funeral	0	19	45	10
Foundation	0	18	26	8
Moonlight	0	65	122	34
Passion	0	4	5	3
Ruvimbo	0	6	50	15
Sunset	1	3	7	2
Vineyard	3	11	58	5
Total	4	216	386	103

Net premium income Written

For the year under review, players in the Funeral Insurance industry wrote UD\$38,618 million in premium income (compared to Dec 2015: US\$36,500 million) representing a 6 percent growth as compared to 2015. The growth rate shows innovation initiatives by the industry to increase new business which includes mobile insurance are paying-off.

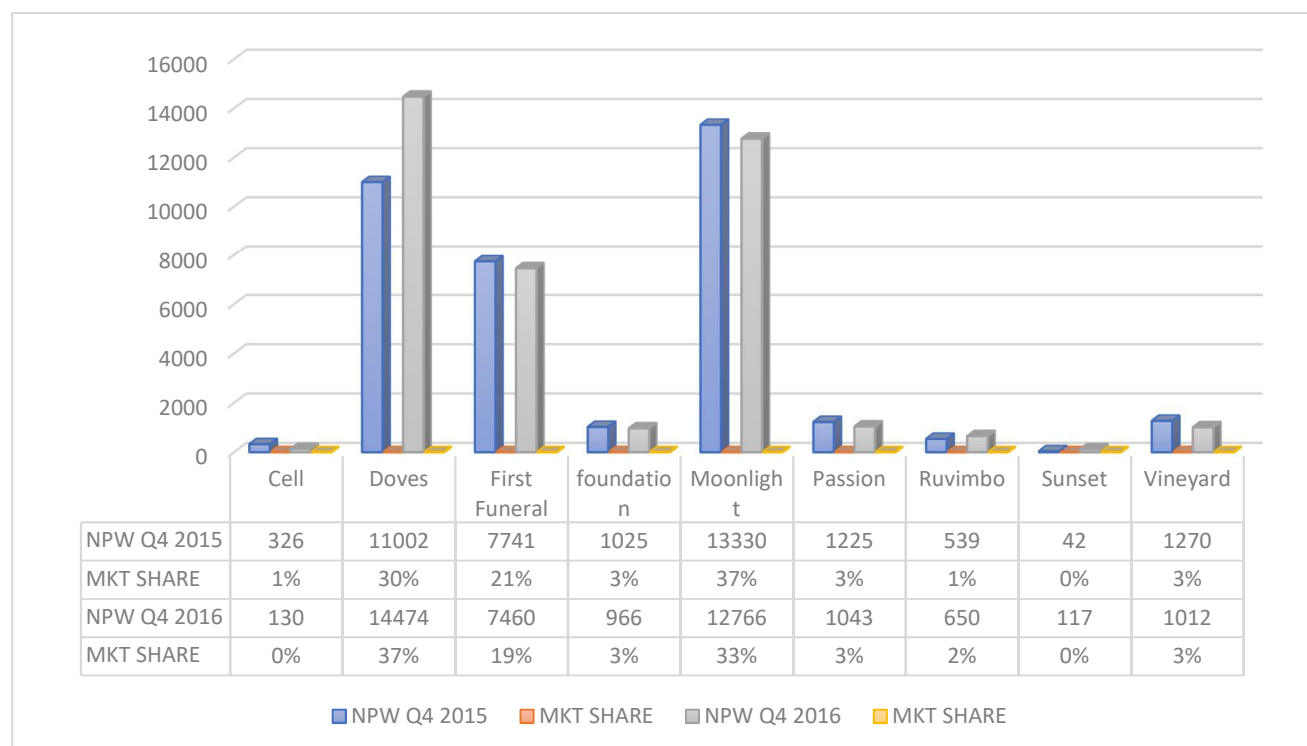
The Funeral assurance market is dominated by 3 players namely Doves funeral assurance, Moonlight funeral assurance and First funeral assurance who wrote 89.85 percent of the premium income, however in terms of growth of net premium income 3 players namely Doves Funeral services, Ruvimbo Funeral and Sunset funeral were in the positive trajectory. The table below shows net premium income of the industry by player.

Table 3: Net premium income distribution by company for the year ended 31 December 2016

Name of Company	Dec 2015(000)	Dec 2016(000)	Growth
Cell	326	130	-60%
Doves	11,002	14,474	32%
First Funeral	7,741	7,460	-4%
Foundation	1025	966	-6%
Moonlight	13,330	12,766	-4%
Passion	1,225	1,043	-15%
Ruvimbo	539	650	21%
Sunset	42	117	179%
Vineyard	1,270	1,012	-20%
Total	36,500	38,618	6%

Industry players are also encouraged to take advantage of the Micro-insurance framework introduced by the Commission to access the untapped market. The ability to create new and innovative products to both existing and new markets is advantageous as it reduces disruptive predatory market practices such as price wars, rebating and switching which affects profit margins negatively for the entire industry.

Figure 1: Market share of Funeral assurers by Net Premium Income





7.0 Business composition

For the period under review, 40 percent of the gross written premium came from corporate policies while the remaining 60 percent was generated from individual policies (Personal lines). Compared to 2015, in 2016 individuals policies generated more business than corporate policies. In the year 2016 new business picked up, with industry players writing 14 percent in new business compared to 2 percent in 2015. Recurring business generated 86 percent of the premium income as shown in figure 2 and table 4 below.

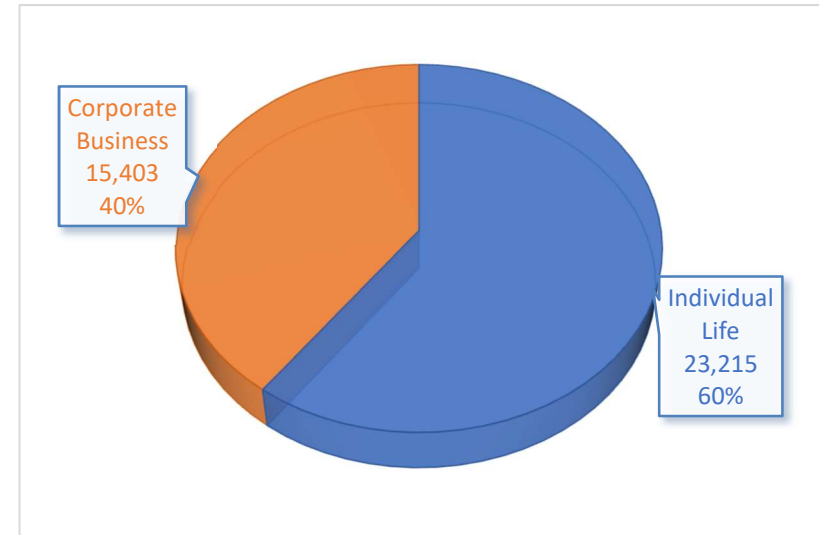
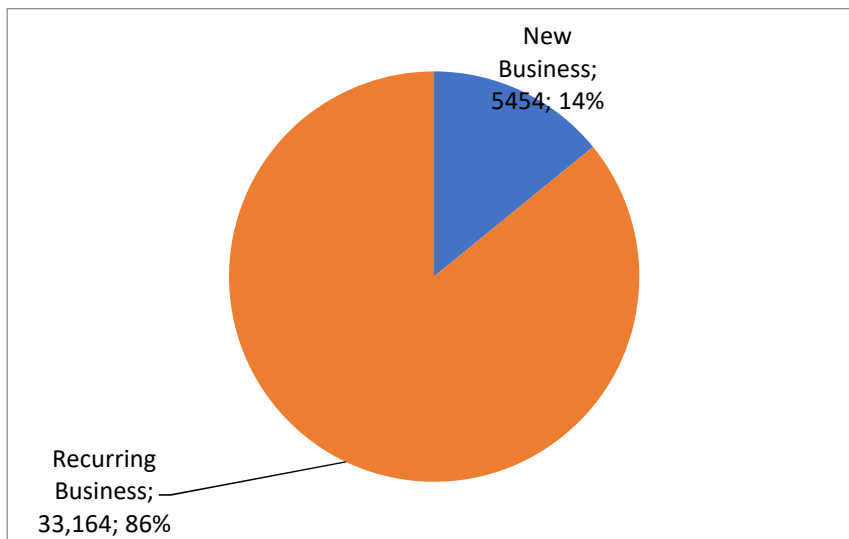
As the global markets become more integrated competitive pressure and evolving global regulatory regimes are making markets more defined and more sophisticated. This calls for the industry to be more innovative and to create new competitive products that helps to grow the industry.

Table 4: Premium income for the year ended 31 December 2016

Co. Name	Personal lines (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)
Cell	0	-	0%	0	22	100%	1	0	0%	325	108	-67%	326	130	-60%
Doves	61	40	-34%	1,498	1,114	-26%	360	4180	1061%	9,083	9,139	1%	11,002	14,473	32%
F. Funeral	8	5	-38%	7,733	7,455	-4%	0	0	0%	0	0	0%	7,741	7,460	-4%
Foundation	5	13	160%	1020	543	-47%	0	0	0%	0	410	0%	1025	966	-6%
Moonlight	138	657	376%	3140	12,110	286%	0	0	0%	10,052	0	-100%	13,330	12,767	-4%
Passion	20	3	-85%	383	274	-28%	49	4	-92%	773	762	-1%	1,225	1,043	-15%
Ruvimbo	44	84	0%	205	566	176%	41	0	0%	249	0	0%	539	650	21%
Sunset	0	-	0%	42	117	179%	0	0	0%	0	0	0%	42	117	179%
Vineyard	7	141	1914%	448	71	-84%	31	327	955%	784	473	-40%	1,270	1,012	-20%
TOTAL	283	943	233%	14,469	22,272	54%	482	4511	836%	21,266	10,892	-49%	36,500	38,618	6%

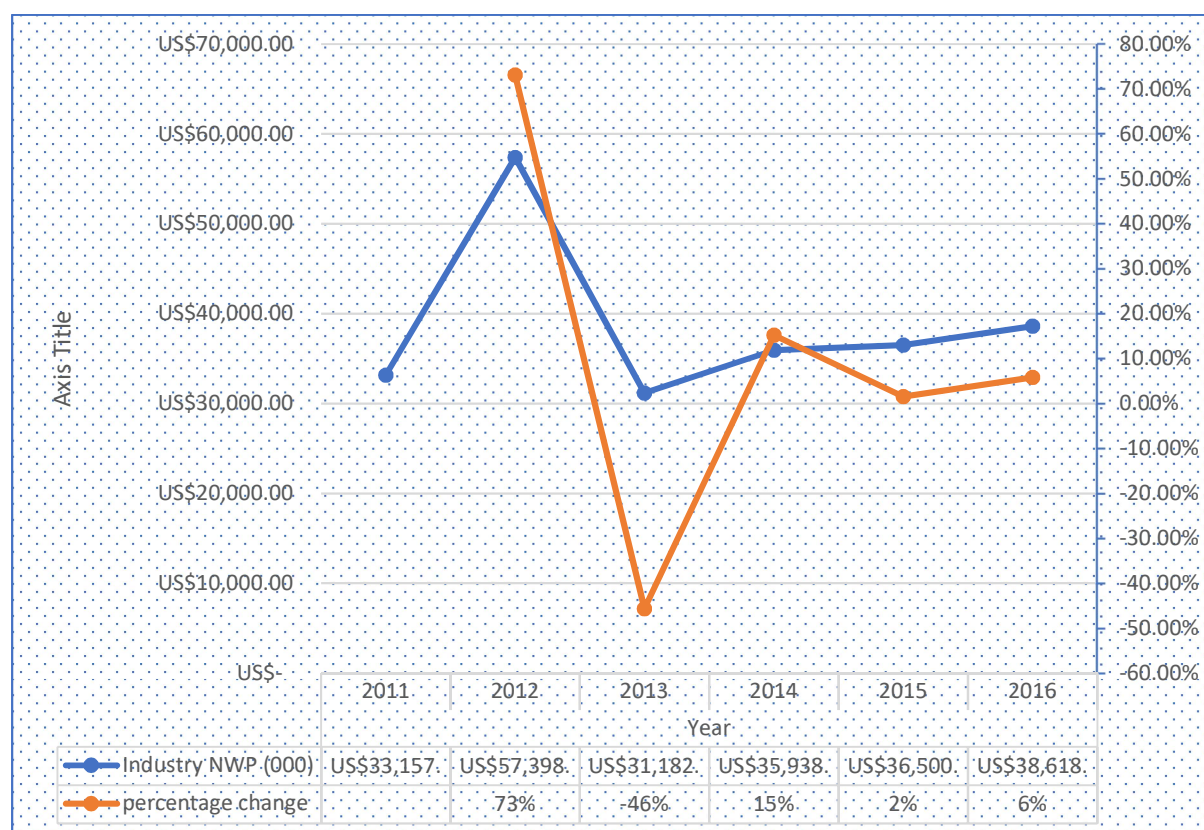


Figure 2: Premium Income composition for the year ended 31 December 2016 (000)



7.1 Trends in gross premium income from 2011 to 2016

Figure 3: Business trend analysis from the year 2011 to 2016



The industry maintained a positive growth trajectory though growth slowed down mainly due to liquidity and affordability challenges by potential policyholders. The distortions on the growth were due to transfer of Nyaradzo funeral business from being reported under the funeral assurance sector to life assurance sector in 2013.

8.0 Not-taken-up policies and lapsed policies

Total premiums for not taken up policies for the period under review amounted to US\$ 45 000 a decrease from the previous period's US\$62,000, while the lapse ratios ranged from 0 percent to 1.73 percent as shown in table 5 below.

Table 5: Not-taken up and lapsed policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums (000)	Individual (%)	Group Bus (%)
Cell	18	0%	0
Doves	0	0.138%	0
First Funeral	2	0.456%	0
Foundation	2	0.104%	0
Moonlight	7	0.78%	0%
Passion	0	0%	0%
Ruvimbo	13	1.23%	0%
Sunset	1	1.73%	0%
Vineyard	2	1.28%	9.33%
Total	45	N/A	N/A

9.0 Claims aged analysis

The total outstanding claims for the year ended 31 December 2016 amounted to US\$166,000 an increase of more than 300 percent from an amount of US\$41,000 from the previous year. This is a serious compliance issue which also has reputational impact to players more so given the urgent nature of funeral assurance claims. The Commission expects funeral claims to be settled as immediate as possible so that the policyholders get funeral assistance, as funeral policies are designed to provide funeral services. The Commission take serious exception where claims are not settled on time given the challenges that bereaved families normally face during such difficult times.

Table 6: Claims aged analysis as at 31 December 2016

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	9	0	25	0	3	0	4	5	0	46
31-60days	0	0	8	0	0	0	6	7	0	21
61-90days	0	0	2	0	0	0	7	5	0	14
91-120days	0	0	0	0	0	0	20	4	0	24
<121 days	0	0	0	21	0	0	40	0	0	61
Reinsurance	0	0	0		0	0	0	0	0	0
Total	9	0	35	21	3	0	77	21	0	166

10.0 Debtors aged analysis \$(000)

Industry players are encouraged to work on reducing their debtors book so as to increase liquidity which is critical on meeting claims payment. Table 7 below shows debtors aged analysis as 31 December 2016

Table 7: Debtors aged analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	5	0	0	15	328	41	0	4	126	519
31-60days	6	0	36	4	209	37	14	2	98	406
61-90days	3	0	109	15	321	35	21	2	65	571
91-120days	0	0	140	6	251	36	27	0	49	509
<121 days	0	0	0	37	714	503	75	0	69	1398
Total	14	0	285	77	1823	652	137	8	407	3403

10.0 Earnings

Most players in the Funeral assurance industry managed to have significant underwriting profits (Technical profits) on their statements of comprehensive income compared to the previous period. However, despite a huge increase in technical profits, bottom line earnings for the period under review increased slightly as shown by the decrease in combined ratio by 1 percent from 81 percent to 80 percent.

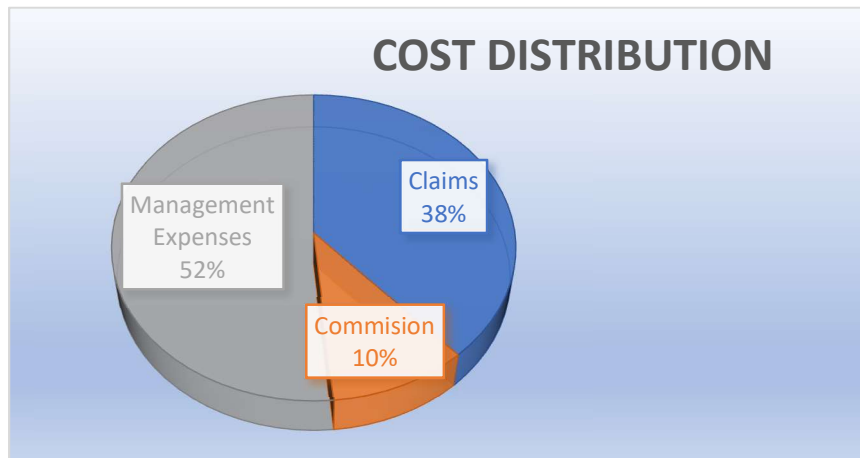
For the period under review management expenses accounted for 52 percent of total costs which is very high as compared to the international best practice which limits management expenses to 20 percent of total costs. This may discourage investments in this sector as return on investment will be lower because of administration costs. Claims accounted for 38 percent while commission accounted for 10 percent of the total costs. Players are strongly encouraged to devise cost cutting measure to reduce costs to sustainable levels, especially management expenses. The table 8 and figure 4 below shows key earnings indicators for the funeral assurance industry.



Table 8: Key earnings indicators for the year ended 31 December 2016

Co. Name	NPW	Claims (000)					Commissions (000)			Management Expenses			Total Costs (000)			Combined Ratio		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Cell	326	130	-60%	2	19	850%	1	1	0%	433	178	-59%	436	198	-55%	134%	152%	18%
Doves	11,002	14,474	32%	4,300	4,371	2%	901	1256	39%	2,689	4,645	73%	7,887	10,272	30%	72%	71%	-1%
F.Funeral	7,741	7,460	-4%	2,134	2,302	8%	1,632	1,404	-14%	2,004	2,517	26%	5,770	6,223	8%	75%	83%	8%
Foundation	1,025	966	-6%	139	128	-8%	80	53	-34%	732	822	12%	951	1,003	5%	93%	104%	11%
Moonlight	13,330	12,766	-4%	2,288	4,543	99%	453	345	-24%	9,549	6,260	-34%	12,290	11,148	-9%	92%	87%	-5%
Passion	1,225	1043	-15%	312	238	-24%	3	9	200%	581	407	-30%	896	654	-27%	73%	63%	-10%
Ruvimbo	539	650	21%	42	77	83%	18	0	-100%	356	451	27%	416	528	27%	77%	81%	4%
Sunset	42	117	179%	1	9	800%	0	0	0%	24	126	425%	25	135	440%	60%	115%	55%
Vineyard	1,270	1012	-20%	246	225	-9%	50	55	10%	562	546	-3%	858	826	-4%	68%	82%	14%
Total	36,500	38,618	6%	9,464	11,912	26%	3,138	3,123	0%	16,930	15,952	-6%	29,529	30,987	5%	81%	80%	-1%

Figure 4: Cost distribution for the year ending 31 December 2016





11.0 Assets quality

The bulky of the assets of the funeral assurance industry are in fixed property (constituting 41% of the assets) and other investments (which constitutes 56 percent of the total assets), this asset breakdown exposes the industry to high liquidity risk and impairs its ability to settle claims in time. Players are therefore encouraged to restructure the liquidity profile of their assets towards more liquid to semi-liquid assets which makes it easy for them to settle claims.

Table 9, figure 5 and 6 below shows the funeral industry asset base and growth as at 31 December 2016

Table 9: Funeral Assurance Industry asset base as at 31 December 2016

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Dec-15	Dec-16	Var	Dec-15	Dec-16	Var	Dec-15	Dec-16	Var	Dec-15	Dec-16	Var	Dec-15	Dec-16	Var	Dec-15	Dec-16	var	Dec-15	Dec-16	Growth
Cell	883	1,124	27%	16	16	0%	98	98	0%	13	12	-8%	36	32	-11%	0	0	0%	1,046	1,282	23%
Doves	3,544	4,910	39%	5	4	-20%	615	0	-100%	175	1095	526%	14,155	17,411	23%	0	68	100%	18,494	23,488	27%
F.Funeral	938	861	-8%	16	10	-38%	0	0	0%	22	23	5%	6,720	9,574	42%	0	0	0%	7,717	10,468	36%
Foundation	1,395	1,395	0%	0	0	0%	35	18	-49%	38	69	82%	716	810	13%	40	103	158%	2,224	2,395	8%
Moonlight	10,653	11,498	8%	0	0	0%	9		0%	9	37	311%	4,040	4,728	17%	16	53	231%	14,727	16,316	11%
Passion	640	640	0%	0	0	0%	0	0	0%	26	32	23%	626	555	-11%	0	20	0%	1,292	1,247	-3%
Ruvimbo	1,124	1,582	41%	0	0	0%	0	0	0%	7	14	100%	1037	1,015	-2%	2	13	550%	2,170	2,624	21%
Sunset	1,693	1,694	0%	0	0	0%	0	0	0%	0	1	100%	12	9	-25%	0	0	0%	1,705	1,704	0%
Vineyard	1,274	1,452	14%	3	2	-33%	54	102	89%	38	27	-29%	671	623	-7%	25	69	176%	2,065	2,275	10%
Total	22,144	25,156	14%	40	32	-20%	811	218	-73%	328	1310	299%	28,013	34,757	24%	83	326	293%	51,440	61,799	20%

Figure 5: Asset base as at 31 December 2016

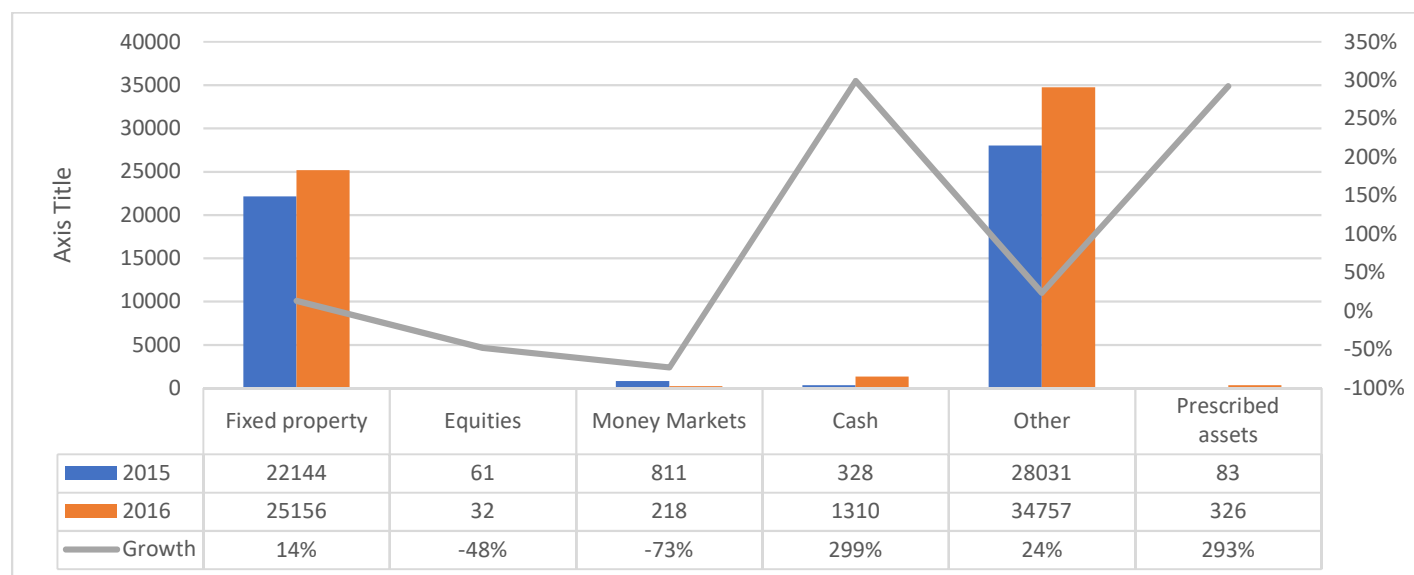
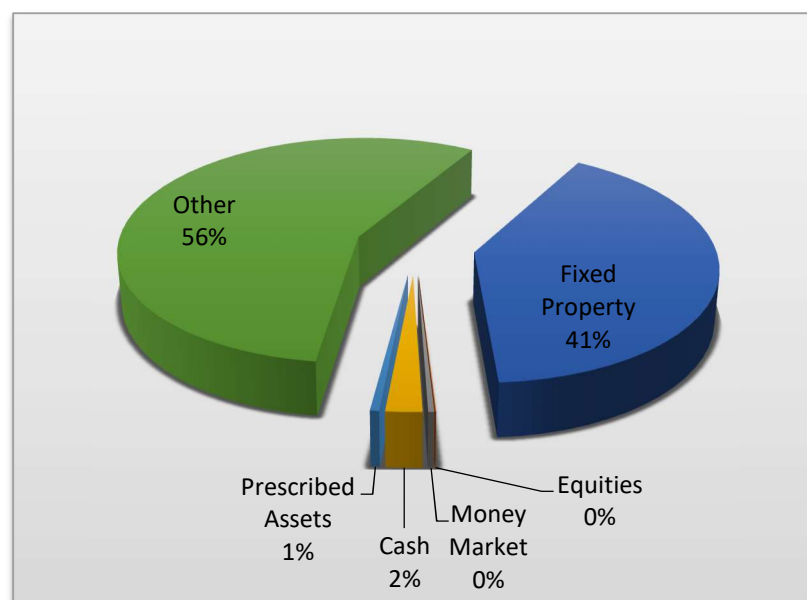


Figure 6: Breakdown of assets





12.0 Capitalisation and solvency

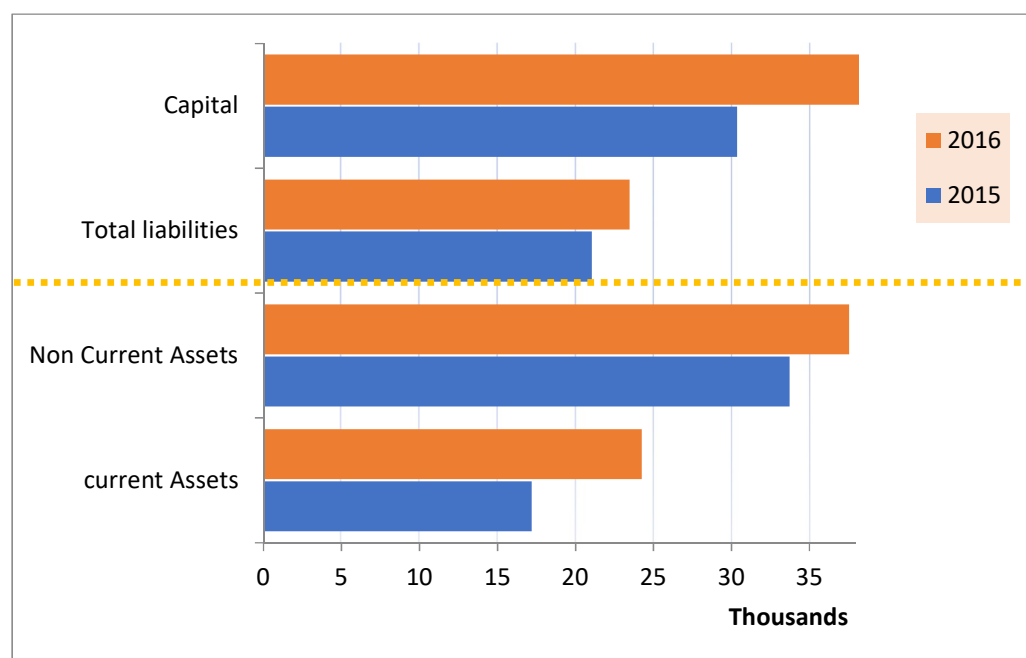
As at 31 December 3 of the 9 funeral assurance industry players recorded capital levels that are below the minimum required capital of US\$1.5 million. The Commission will engage the above-mentioned players for them to submit their capitalisation plans and timelines of regularizing their capital positions as a matter of urgency to ensure adequate capitalisation of the said players. Table 10 below shows capitalisation levels for the funeral industry.

Table 10: Levels of capitalisation, Liquidity and solvency indicators as at 31 December 2016

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	Dec-15	Dec-16	%	Dec-15	Dec16	%	Dec-15	Dec-16	Dec-15	Dec-16	%	Dec-15	Dec-16	%	Dec15	Dec-16	%	Dec15	Dec16	%
Cell	163	158	-3	293	83	-72	1,046	1,282	342	578	69	704	704	0	206	122%	-84	56	190%	134
Doves	8,732	11,895	36	1,245	1,955	57	18,494	23,489	2,198	3,098	41	16,296	20,391	25	741	658%	-83	701	608%	-93
F.Funeral	2,080	5,314	155	307	549	79	7,717	10,469	2929	3,733	27	4,788	6,736	41	163	180%	17	678	968%	290
Foundation	590	694	18	459	284	-38	2,224	2,394	1,626	1,531	-6	597	863	45	37	56%	19	129	244%	115
Moonlight	4,059	4,765	17	9,030	731	-92	14,727	16,315	12,337	12,725	3	2,390	3,590	50	19	28%	9	45	652%	607
Passion	493	426	-14	396	114	-71	1,292	1,247	396	439	11	896	808	10	226	184%	-42	124	374%	250
Ruvimbo	444	428	-4	638	91	-86	2,170	2,624	638	789	24	1,532	1,835	20	240	233%	-7	70	470%	400
Sunset	12	9	-25	182	109	-40	1,705	1,704	199	203	2	1,506	1,501	0	757	739%	-18	7	8%	1
Vineyard	637	569	-11	122	221	81	2,065	2,275	397	387	-3	1668	1,888	13	420	488%	68	522	257%	-265
Total	17,210	24,258	41	12,672	4,137	-67	51,440	61,799	21,062	23,483	11	30,377	38,316	26	144	163%	19	136	586%	450

The funeral industry minimum capital requirement was increased to US\$2.5 million, players are therefore encouraged to work towards meeting the new requirement.

Figure 7: Levels of Capitalisation, Liquidity and solvency indicators as at 31 December 2016



14. Summary of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting its operations: -

Statutory Instrument Issued	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Statutory Instrument 25 of 2016	Insurance (Amendment) Regulations ,2016 Prescribed Assets	19 th February 2016

Circular Issued	Subject	Date Issued
Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016
Circular No. 6. Of 2016	Guidelines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular No. 7. Of 2016	One Day Training for the Insurance and Pensions Industry on Anti- Money Laundering/ Combating of Financing Terrorism (AML/CFT)	22 August 2016
Circular No. 8. Of 2016	Seminar on Insurance Broker Trust Accounts	6 September 2016
Circular No. 9. Of 2016	Insurance Products Offered to the Agricultural Sector	20 September 2016
Circular No. 14 of 2016	Presentation of the draft micro-insurance regulatory framework	12 December 2016
Circular no. 11 of 2016	Directive on governance and Risk Management for Insurance Companies	19 October 2016
Circular no. 10 of 2016	Workshop on presentation of solvency framework	19 October 2016

Prescribed Assets Update- 31 December 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Uptake ratios
ZB Financial Holdings 2015/2016 Agro bills	✓ The target amount was \$5million at a coupon rate of 5%,	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of

	✓ intended to support the 2015/2016 agricultural season	94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	✓ The target amount was \$20million at a coupon rate of 10%, ✓ intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June and will be fully paid in December. CLOSED
IDBZ Series 2 2014B (US\$50million)	✓ Refurbishment of Kariba South Power Station and Repowering of Harare Power Station. ✓ Bond has a tenor of 5 years at 9% coupon rate.	Bond fully subscribed as at 02 September 2016. Of the 50million raised, \$45.3million (90.6% of the total issue) was raised from the pension and insurance industry. CLOSED
Agricultural Marketing Authority (AMA Bills)	✓ Finance the purchase of grain by the Grain Marketing Board ✓ \$50million at a coupon rate of 10.5%p. a	Bond Fully repaid in June 2016. CLOSED
Homelink	✓ Development of stands and construction of housing units ✓ Initial bond amount of \$15m. However, the applicant is targeting to raise \$50million to complete the project.	No update at the moment on uptake
NMB	✓ A \$10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years ✓ Purpose: Mortgage Loan facility for low income earners	Application was approved. No update from the issuer on its current availability.
Honde Hydro Power Consolidated	✓ Bond amount of \$5million with a coupon rate of 8.5%	Application was approved on the 13 th of May 2016. No update from

	to 9%, with a tenor of 5 years ✓ Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	the issuer on its current availability.
IDBZ Series 1 2015B	✓ \$5million bond at a coupon rate of 9.5% with a tenor of 5 years ✓ Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016. No update from the issuer on its current availability.
Agribank and FBC, 2016/2017 Agrobills	✓ Bond amount of US\$20million, coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription. Available
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	✓ Bond amount of \$15million at 7% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription. Available
Agricultural Marketing Authority (AMA) Bills being arranged by CBZ	✓ Bills issue of \$50million at a coupon rate of 8.5% for a tenor of 360 days. ✓ Government Guarantee as security ✓ Purpose: to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	Application approved on the 9 th of September 2016 and is now open for subscription. Available
Agribank 2016/2017 Agro bills	✓ US\$5million, with a coupon rate that is negotiable on private placement ✓ Government Guarantee as security ✓ Purpose: is to finance the 2016/2017 agricultural season	Application approved on the 23 rd of December 2016 and is open for subscription. Available

IDBZ Housing Bond (Empumalanga West Housing Project)	✓ Bond issue of \$5.8million at a coupon rate of 8.5% p.a with a tenor of 7 years ✓ Purpose: financing of the Empumalanga West Housing Project. ✓ Government Guarantee as security	Application approved on the 28 th of December 2016 and is open for subscription. Available
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15.0 Conclusion

With a positive economic outlook it is expected that the industry will maintain the positive growth trajectory. However key compliance challenges such as a low prescribed asset ratio (1%), capitalization and a high amount of outstanding claims need to be addressed as soon as possible in order to ensure peace of mind for consumers of funeral assurance products. Rehabilitative measures by the Commission continue in earnest to ensure compliance with the current Acts and regulations.